AR 2EB

ALAMEDA RESEARCH
2: ELECTRIC BOOGALOO
LONG HORIZONS · STRUCTURAL SHIFTS · IMAGINATION

INTERNAL RESEARCH · MEMO · NOT INVESTMENT ADVICE · AI-ASSISTED

# DoorDash

NASDAQ : DASH · $76.55B mkt cap · 415M sh · $5.5B cash, zero debt · ~$5.5B net cash; ~415M basic / ~442M diluted shares (SBC dilutes ~$1.3B/yr); GOV Mature-Company $102B / revenue $13.72B FY25 (+27% GOV); $1.8B FCF; first +FY GAAP income 2024; Down ~29% TTM; advertising ~$1B run-rate, DCF Deliveroo+Wolt international, ~41x EV/FCF

22 October 2026 · the qualitative

**$184.45**

## THE CENTRAL QUESTION

### Is DoorDash a dominant local-commerce network whose profitability is about to inflect — or a high-SBC, ~41x-FCF delivery business punished for spending ahead of returns?

DoorDash trades at ~$80B (≈$194/sh, down ~29% TTM) — ~41x EV/FCF on $1.8B FCF, but GOV is still compounding +27% ($102B) and adj-EBITDA hit $2.8B (~2.7% of GOV). The crash is a margin/SBC problem, not a growth one. The mature DCF asks whether advertising (~$1B run-rate) + New-Verticals (grocery) unit economics + international (Deliveroo/Wolt) inflect the 2.4%-of-GOV margin upward, against ~$1.3B/yr SBC dilution. The finding: rich — the 20%+ growth + margin inflection are outweighed by the premium FCF multiple + dilution.

## PROBABILITY-WEIGHTED EXPECTED VALUE

most likely case (base) -14.2% · 75% at or below spot

**$156.70**

expected fair value today

-15.0% vs spot $184.45

## FORWARD COMPOUNDED VALUE

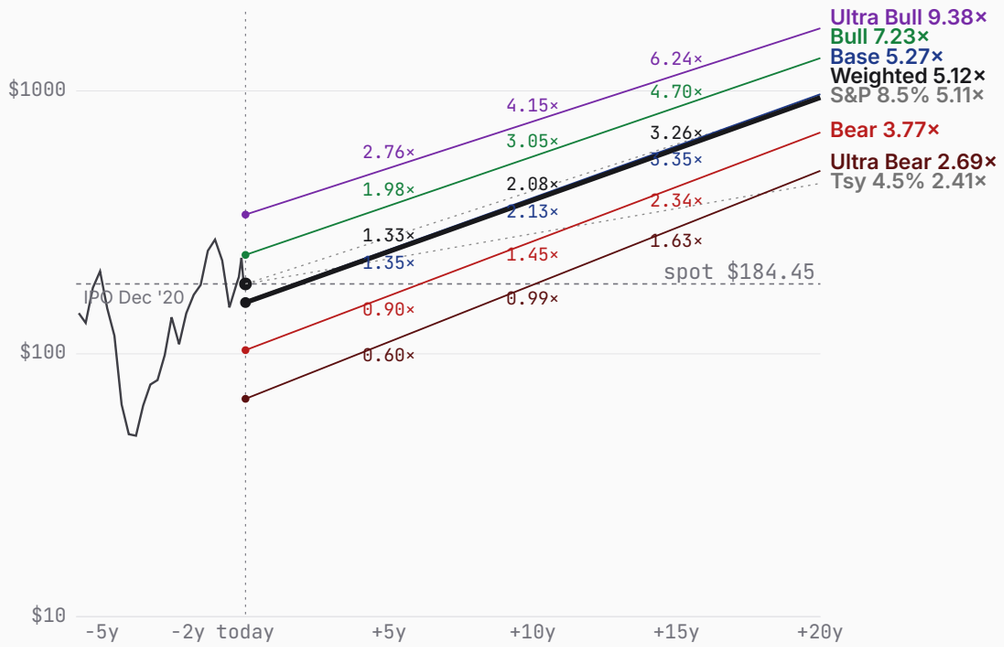
| +5y | +10y | +15y | +20y |
|---|---|---|---|
| $245.23 | $384.04 | $601.82 | $943.71 |
| 1.33× spot | 2.08× spot | 3.26× spot | 5.12× spot |

## WEIGHTING RATIONALE

**Ultra Bear 15%** Growth slows; margin stalls; SBC; ~$67 (-65%).
**Bear 27%** Decel; modest inflection; ~$103 (-47%).
**Base 33%** Margin inflects; ads scale; $158 (-18%).
**Bull 18%** Ads+grocery scale; ~$238 (+23%).
**Ultra Bull 7%** Dominant local-commerce platform; ~$338 (+75%).

Bull (18%) + Ultra Bull (7%) together contribute $66.49 — 42% of the $156.70 expected value despite 25% combined probability. Today's spot ($184.45) sits 18% above the weighted expected; the forward-weighted value reaches spot in about 2 years.

## PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED FORWARD




## ULTRA BEAR — $67.43

-63.4% vs spot

CAGR +6.2% WACC 10.5%
CAGR +6.2% Prob 15%

Growth slows; margin stalls; SBC dilutes.

## BEAR — $103.28

-44.0% vs spot

CAGR +10.0% WACC 10.0%
CAGR +10.0% Prob 27%

Decelerates; modest margin inflection.

## BASE — $158.19

-14.2% vs spot

CAGR +12.4% WACC 9.5%
CAGR +12.4% Prob 33%

Margin inflects; ads scale; ~15% growth.

## BULL — $237.79

+28.9% vs spot

CAGR +15.0% WACC 9.0%
CAGR +15.0% Prob 18%

Ads + grocery scale; margin to ~5% of GOV.

## ULTRA BULL — $338.45

+83.5% vs spot

CAGR +18.0% WACC 8.5%
CAGR +18.0% Prob 7%

Dominant local-commerce platform.

NOT INVESTMENT ADVICE · Not from a registered investment advisor · AI-assisted analysis · Author may hold positions · See full disclaimers, page 7

AR 2EB | ALAMEDA RESEARCH 2: ELECTRIC BOOGALOO — LONG HORIZONS · STRUCTURAL SHIFTS · IMAGINATION

# DoorDash scenario narratives

## PROBABILITY WEIGHTS

Ultra Bear 15% Bear 27% Base 33% Bull 18% Ultra Bull 7% · Weighted expected $156.70 (-15.0% vs spot)

## ULTRA BEAR $67.43

-63.4% vs spot

Probability 15%

### Growth slows; margin stalls; SBC dilutes.

**WHY 15%**

The bear: the margin inflection stalls and SBC dilution + Uber competition cap returns. 15% weight on spending-ahead-of-returns persisting.

**WHAT HAPPENS**

US restaurant delivery saturates, New Verticals stay margin-dilutive, Uber Eats presses, and ~$1.3B/yr SBC keeps diluting. GOV growth decays toward high-single while the 2.4%-of-GOV margin stalls.

DCF ~$67 (-65%) — a no-margin-inflection, SBC-heavy delivery business at a premium multiple de-rates hard.

## BEAR $103.28

-44.0% vs spot

Probability 27%

### Decelerates; modest margin inflection.

**WHY 27%**

Growth decelerates and the margin ramp is slower than the bull case. 27% weight — a plausible 'grows but stays expensive' path.

**WHAT HAPPENS**

GOV decelerates to low-double-digits and the margin inflects only modestly as ads scale but New Verticals stay competitive; SBC dilution continues.

DCF ~$103 (-47%) — still below spot; the premium FCF multiple isn't covered by a modest inflection.

## BASE $158.19

-14.2% vs spot

Probability 33%

### Margin inflects; ads scale; ~15% growth.

**WHY 33%**

Requires the guided 2H'26 margin inflection + ads scaling + mid-teens GOV. 33% as the central outcome, below spot — SBC caps the per-share.

**WHAT HAPPENS**

The modal path: advertising scales past $1B, New-Verticals (grocery) unit economics turn positive in 2H'26, and the network compounds GOV mid-teens — lifting the FCF margin toward 20%.

DCF ~$158 (-18%) — rich; the 20%+ growth + margin inflection fall short of the ~41x FCF entry.

## BULL $237.79

+28.9% vs spot

Probability 18%

### Ads + grocery scale; margin to ~5% of GOV.

**WHY 18%**

The margin inflection compounds (ads + grocery + international) and growth stays high-teens. ~18%; the bull the de-rate is discounting away.

**WHAT HAPPENS**

Advertising + grocery + international (Deliveroo/Wolt) drive the GOV margin toward 4-5%, GOV compounds high-teens, and SBC moderates as a share of revenue.

DCF ~$238 (+23%) — the local-commerce network re-rates as the margin inflection proves durable.

## ULTRA BULL $338.45

+83.5% vs spot

Probability 7%

### Dominant local-commerce platform.

**WHY 7%**

Full local-commerce dominance + a high-margin ad/autonomy mix. ~7%, the asymmetric upside.

**WHAT HAPPENS**

DoorDash becomes the dominant local-commerce platform (restaurants + grocery + retail + ads + autonomy optionality) compounding GOV ~20% at peak network margins.

DCF ~$338 (+75%) — the local-commerce 'everything' platform; ~7% probability.

**NOT INVESTMENT ADVICE · Not from a registered investment advisor · AI-assisted analysis · Author may hold positions · See full disclaimers, page 7**

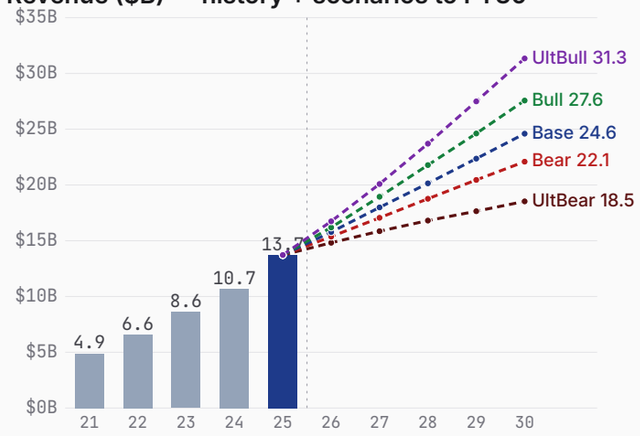
# DoorDash business snapshot



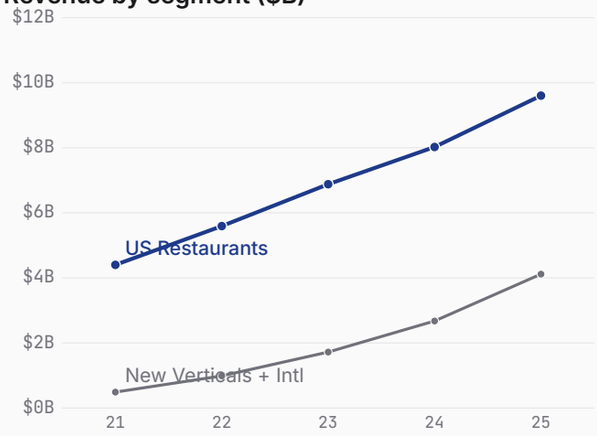
Bear $103.28 Base $158.19 Bull $237.79

FY21-FY25 history + FY26-FY30 scenario projections · calendar fiscal year · FY2025 10-K + Q1'26

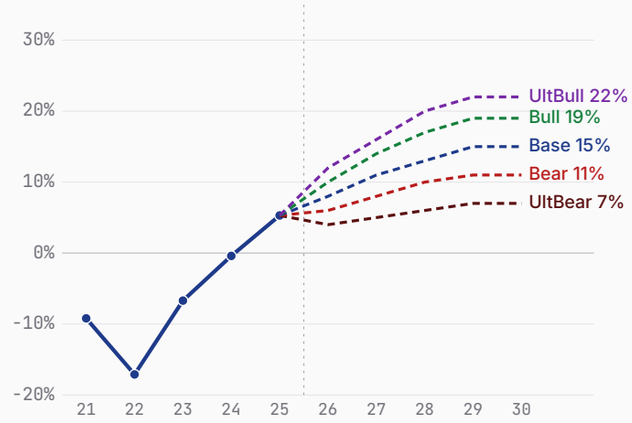
## Revenue ($B) — history + scenarios to FY30



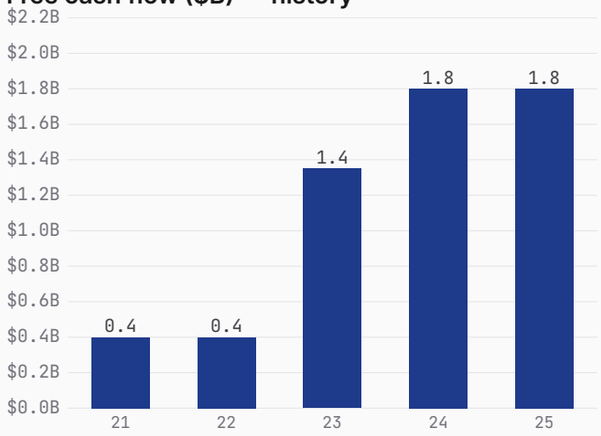

## Revenue by segment ($B)



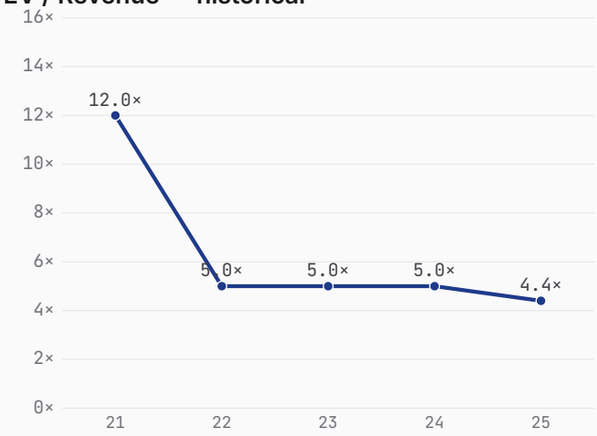

## Op margin — history + scenarios



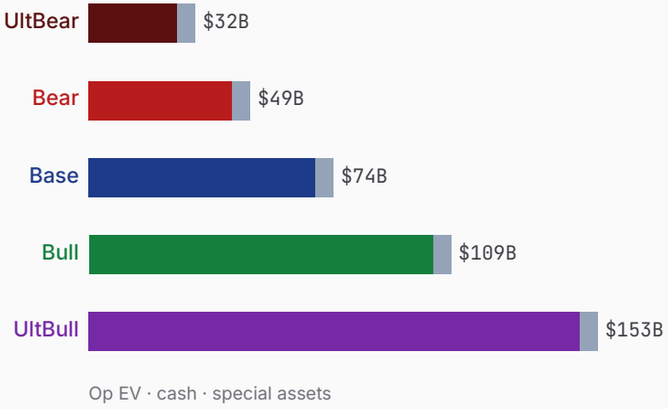

## Free cash flow ($B) — history




## EV / Revenue — historical




## Equity build (Op EV + net cash)




Sources: DoorDash FY2025 10-K (GOV $102B, revenue $13.72B, adj EBITDA $2.8B, FCF $1.8B, net cash $5.5B), Q1'26 (GOV +37% incl. Deliveroo). Revenue as a growth-rate path off FY25; FCF = revenue x FCF margin; SBC modeled via rising final_shares (dilution); Gordon terminal. EV/FCF vs UBER/Instacart.

**NOT INVESTMENT ADVICE · Not from a registered investment advisor · AI-assisted analysis · Author may hold positions · See full disclaimers, page 7**

# DoorDash 7 Powers · the moat, scored

Bear $103.28 Base $158.19 Bull $237.79

**Arena.** Local commerce / food delivery — DoorDash (US #1, ~60% restaurant share, New Verticals + ads + Wolt/Deliveroo) vs Uber Eats, Instacart (grocery), Grubhub; defending a network + scale Power as it spends to inflect margins.

**POWER AUDIT**
dominant-power durability: medium-high

## POWER AUDIT · 7 POWERS

| | |
|---|---|
| **Scale Economies** | #1 US volume; logistics density lowers cost/delivery; fixed ad/tech spread over the largest GOV base. |
| **Network Economies** · thesis leans here | The dominant Power: two-sided consumer↔merchant↔Dasher density flywheel. |
| **Counter-Positioning** | Was the suburban-first disruptor; incumbents have matched. |
| **Switching Costs** | DashPass + habit + saved data; modest (multi-homing is easy). |
| **Branding** | Strong US verb-status, not pricing-power branding. |
| **Cornered Resource** | No durable exclusive asset; the Dasher network is replicable. |
| **Process Power** | Logistics/ML routing + ETA accuracy — a real operational edge. |

## PEER SET

**Uber Eats** — 18% gr · ~16x EV/FCF
US #2 restaurants + global; bundles with mobility; richer EV/EBITDA.

**Instacart (CART)** — 10% gr · cheaper
US grocery-delivery leader; high-margin ads, slower GOV growth.

**Grubhub** — -5% gr · n/a
Distant #3 in US restaurants (<10% share); declining.

**Amazon / Walmart** — · varies
Grocery/retail-delivery scale — the New-Verticals threat.

## THREAT VECTORS · FALSIFIERS

**Scale Economies** · Uber Eats (US share)
falsifier: DoorDash US restaurant share falls below 58% or Uber bundling erodes take rate.

**Network Economies** · Instacart (grocery)
falsifier: DASH grocery unit economics stay negative past 2026.

**Counter-Positioning** · Gig-worker regulation
falsifier: A major-state reclassification ruling structurally raises the Dasher cost base.

> **COMPETITIVE READ**
> DoorDash's network-economies + scale (logistics density) are dominant and durable in US restaurants (~60% share, >2x Uber Eats), and GOV is still compounding +27% — the drawdown is a margin/SBC story, not a growth one. The terminal multiple hinges on whether advertising + New-Verticals scale lift the 2.4%-of-GOV margin without a price war, net of ~$1.3B/yr SBC dilution. At ~41x EV/FCF the 20%+ growth + margin inflection fall short of the entry — rich, with the upside on the 2H'26 inflection.

**NOT INVESTMENT ADVICE · Not from a registered investment advisor · AI-assisted analysis · Author may hold positions · See full disclaimers, page 7**

# DoorDash show your work

Bear $103.28 Base $158.19 Bull $237.79 · Weighted $156.70 (-15.0%)

## ULTRA BEAR $67.43

### ASSUMPTIONS

| | |
|---|---|
| 5y revenue CAGR (%) | +6.2 |
| Year-5 op margin (%) | 7.0 |
| WACC (%) | 10.5 |
| Terminal growth (%) | 2.5 |
| Terminal FCF ($B) | $2.41B |
| Starting revenue ($B) | 13.72 |
| Scenario probability (%) | 15 |

### 5-YEAR DCF · $B

| FY | Rev | Margin | FCF | PV FCF |
|---|---|---|---|---|
| FY26 | 14.82 | +4% | +1.78 | +1.61 |
| FY27 | 15.85 | +5% | +1.90 | +1.56 |
| FY28 | 16.81 | +6% | +2.19 | +1.62 |
| FY29 | 17.65 | +7% | +2.29 | +1.54 |
| FY30 | 18.53 | +7% | +2.41 | +1.46 |

| | |
|---|---|
| Σ PV explicit FCF | **+7.79** |
| + PV terminal (g 2.5%) | 18.74 |

### EQUITY BUILD · $B & PER SHARE

| | |
|---|---|
| Operating EV | $26.53B |
| + Cash & investments | $5.50B |
| = Equity value | **$32.03B** |
| FY30 shares (M) | 475 |
| **= Expected per share** | **$67.43** |

### FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

| +5y | +10y | +15y | +20y |
|---|---|---|---|
| $111.09 | $183.01 | $301.50 | $496.71 |
| 0.60× | 0.99× | 1.63× | 2.69× |

## BEAR $103.28

### ASSUMPTIONS

| | |
|---|---|
| 5y revenue CAGR (%) | +10.0 |
| Year-5 op margin (%) | 11.0 |
| WACC (%) | 10.0 |
| Terminal growth (%) | 3.0 |
| Terminal FCF ($B) | $3.53B |
| Starting revenue ($B) | 13.72 |
| Scenario probability (%) | 27 |

### 5-YEAR DCF · $B

| FY | Rev | Margin | FCF | PV FCF |
|---|---|---|---|---|
| FY26 | 15.37 | +6% | +2.15 | +1.96 |
| FY27 | 17.06 | +8% | +2.56 | +2.12 |
| FY28 | 18.76 | +10% | +3.00 | +2.25 |
| FY29 | 20.45 | +11% | +3.27 | +2.23 |
| FY30 | 22.09 | +11% | +3.53 | +2.19 |

| | |
|---|---|
| Σ PV explicit FCF | **+10.75** |
| + PV terminal (g 3.0%) | 32.29 |

### EQUITY BUILD · $B & PER SHARE

| | |
|---|---|
| Operating EV | $43.04B |
| + Cash & investments | $5.50B |
| = Equity value | **$48.54B** |
| FY30 shares (M) | 470 |
| **= Expected per share** | **$103.28** |

### FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

| +5y | +10y | +15y | +20y |
|---|---|---|---|
| $166.33 | $267.88 | $431.43 | $694.82 |
| 0.90× | 1.45× | 2.34× | 3.77× |

## BASE $158.19

### ASSUMPTIONS

| | |
|---|---|
| 5y revenue CAGR (%) | +12.4 |
| Year-5 op margin (%) | 15.0 |
| WACC (%) | 9.5 |
| Terminal growth (%) | 3.5 |
| Terminal FCF ($B) | $4.92B |
| Starting revenue ($B) | 13.72 |
| Scenario probability (%) | 33 |

### 5-YEAR DCF · $B

| FY | Rev | Margin | FCF | PV FCF |
|---|---|---|---|---|
| FY26 | 15.78 | +8% | +2.52 | +2.31 |
| FY27 | 17.99 | +11% | +3.24 | +2.70 |
| FY28 | 20.15 | +13% | +3.83 | +2.92 |
| FY29 | 22.36 | +15% | +4.47 | +3.11 |
| FY30 | 24.60 | +15% | +4.92 | +3.13 |

| | |
|---|---|
| Σ PV explicit FCF | **+14.16** |
| + PV terminal (g 3.5%) | 53.90 |

### EQUITY BUILD · $B & PER SHARE

| | |
|---|---|
| Operating EV | $68.06B |
| + Cash & investments | $5.50B |
| = Equity value | **$73.56B** |
| FY30 shares (M) | 465 |
| **= Expected per share** | **$158.19** |

### FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

| +5y | +10y | +15y | +20y |
|---|---|---|---|
| $249.03 | $392.03 | $617.15 | $971.54 |
| 1.35× | 2.13× | 3.35× | 5.27× |

## BULL $237.79

### ASSUMPTIONS

| | |
|---|---|
| 5y revenue CAGR (%) | +15.0 |
| Year-5 op margin (%) | 19.0 |
| WACC (%) | 9.0 |
| Terminal growth (%) | 4.0 |
| Terminal FCF ($B) | $6.34B |
| Starting revenue ($B) | 13.72 |
| Scenario probability (%) | 18 |

### 5-YEAR DCF · $B

| FY | Rev | Margin | FCF | PV FCF |
|---|---|---|---|---|
| FY26 | 16.19 | +10% | +2.91 | +2.67 |
| FY27 | 18.94 | +14% | +3.79 | +3.19 |
| FY28 | 21.78 | +17% | +4.79 | +3.70 |
| FY29 | 24.61 | +19% | +5.66 | +4.01 |
| FY30 | 27.57 | +19% | +6.34 | +4.12 |

| | |
|---|---|
| Σ PV explicit FCF | **+17.69** |
| + PV terminal (g 4.0%) | 85.72 |

### EQUITY BUILD · $B & PER SHARE

| | |
|---|---|
| Operating EV | $103.41B |
| + Cash & investments | $5.50B |
| = Equity value | **$108.91B** |
| FY30 shares (M) | 458 |
| **= Expected per share** | **$237.79** |

### FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

| +5y | +10y | +15y | +20y |
|---|---|---|---|
| $365.87 | $562.94 | $866.15 | $1,332.67 |
| 1.98× | 3.05× | 4.70× | 7.23× |

## ULTRA BULL $338.45

### ASSUMPTIONS

| | |
|---|---|
| 5y revenue CAGR (%) | +18.0 |
| Year-5 op margin (%) | 22.0 |
| WACC (%) | 8.5 |
| Terminal growth (%) | 4.0 |
| Terminal FCF ($B) | $8.15B |
| Starting revenue ($B) | 13.72 |
| Scenario probability (%) | 7 |

### 5-YEAR DCF · $B

| FY | Rev | Margin | FCF | PV FCF |
|---|---|---|---|---|
| FY26 | 16.74 | +12% | +3.35 | +3.09 |
| FY27 | 20.09 | +16% | +4.62 | +3.92 |
| FY28 | 23.70 | +20% | +5.93 | +4.64 |
| FY29 | 27.49 | +22% | +7.15 | +5.16 |
| FY30 | 31.34 | +22% | +8.15 | +5.42 |

| | |
|---|---|
| Σ PV explicit FCF | **+22.23** |
| + PV terminal (g 4.0%) | 125.25 |

### EQUITY BUILD · $B & PER SHARE

| | |
|---|---|
| Operating EV | $147.48B |
| + Cash & investments | $5.50B |
| = Equity value | **$152.98B** |
| FY30 shares (M) | 452 |
| **= Expected per share** | **$338.45** |

### FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

| +5y | +10y | +15y | +20y |
|---|---|---|---|
| $508.91 | $765.23 | $1,150.64 | $1,730.17 |
| 2.76× | 4.15× | 6.24× | 9.38× |

**NOT INVESTMENT ADVICE · Not from a registered investment advisor · AI-assisted analysis · Author may hold positions · See full disclaimers, page 7**

# DoorDash People · Opportunity · Context · Deal

Bear $103.28 Base $158.19 Bull $237.79

Underwrite the position the way a venture investor underwrites a round — across all four legs, public or private. **People** is the leg scored here (observable only); Opportunity, Context and Deal cross-reference the rest of the memo.

## PEOPLE · WHO RUNS / OWNS / FUNDS IT

**Tony Xu** · `founder-led` — 13 yrs in seat

**12%**
insider ownership

**HIGH**
key-person risk

**Capital allocation (realized)**
Growth-by-stock: the $8.1B all-stock Wolt deal (2022) took DoorDash to 27 countries, plus 2025 bolt-ons (Deliveroo, SevenRooms) — capital goes to expansion, funded with equity (dilutive). Buybacks authorized ($1.1B 2024 → only $224M used; $5B 2025 → little executed by mid-year): intent ahead of action. Heavy SBC.

**Incentive alignment**
Pay-for-performance via the 2020 CEO award (10.4M shares, ~3.5%) that vests only as the stock clears escalating price targets (up to $501 by 2027) — $0 vested in FY2024 when targets were unmet; FY2024 cash comp was a nominal ~$300k salary with no new equity.

GOVERNANCE FLAGS

- multi-class super-voting (Class B = 20 votes) → founders ~54% of votes, all directed by Xu via irrevocable proxy
- CEO + Chairman combined; controlled-company eligible but does not use the exemptions
- classified board; 2021 ISS / Glass Lewis pushback on the structure + pay
- sunset is event / ownership-triggered (no fixed date)

## THE FOUR LEGS



**People**
observable composite · 1–5

**Opportunity**
The scenario distribution · the business snapshot · the Arthur Indicator (DASH 8.03)

**Context**
The 7 Powers analysis (Power Audit)

**Deal**
Open-market common — entry price weighed against the probability-weighted fair value + position sizing.
`-15.0% vs spot $184.45`

> **PEOPLE READ**
> Founder-CEO paid only on escalating price hurdles ($0 vested when unmet) and not leaning on the controlled-company exemptions — but the ~54% founder vote is concentrated in one person via an irrevocable proxy, buyback intent has outrun execution, and growth has been bought with dilutive stock.

# DoorDash supporting analysis · disclaimers · glossary

Bear $103.28 Base $158.19 Bull $237.79

## PUSHBACK · WHY THE BASE CASE IS TOO HARSH

1. **GOV still compounding +27%.**
   Down 29% on a margin/SBC concern, not a growth one — GOV $102B (+27%), Q1'26 +37%; the network keeps scaling.
2. **US #1 with network + scale density.**
   ~60% US restaurant share, >2x Uber Eats; logistics density is a genuine cost moat.
3. **Advertising is the high-margin lever.**
   ~$1B run-rate, near-100% incremental margin — the single biggest margin-inflection driver.
4. **Net cash $5.5B; first +FY GAAP income 2024.**
   Profitability inflected ($123M 2024 → $935M 2025); self-funding, buying back stock.
5. **New Verticals + international optionality.**
   Grocery unit economics guided positive 2H'26; Deliveroo/Wolt add 9 countries — TAM expansion.

## FALSIFICATION TRIGGERS

**Bull validation**

grocery/retail unit economics turn positive (2H'26) · advertising passes $1.5B run-rate · GOV margin rises above 3.5% · GOV stays mid-teens+

**Bear validation**

US restaurant share falls below 58% · grocery stays margin-negative past 2026 · SBC stays >$1.3B/yr · Uber Eats gains share

**Reframe needed**

if gig-worker reclassification structurally raises the Dasher cost base, re-rate the unit economics + terminal margin

## DISCLAIMERS · PLEASE READ BEFORE USING THIS DOCUMENT

### Not investment advice.

This document is produced for entertainment and educational purposes only by an individual amateur investor. "Alameda Research 2: Electric Boogaloo" is the unincorporated personal concept of one person and is not a registered investment management entity. Nothing herein constitutes investment advice, a recommendation, or a solicitation to buy or sell any security.

### Not a professional.

The author is not a registered investment advisor, broker-dealer, CFA charterholder, certified financial planner, or licensed financial professional of any kind. The author has no formal training in equity research or capital markets. No fiduciary relationship is created by reading this document.

### AI-assisted analysis.

Substantial portions of this analysis were produced with the assistance of large language models. LLMs are known to fabricate facts, miscalculate numbers, hallucinate sources, and present incorrect information with high apparent confidence. Every figure, claim, and projection in this document should be independently verified before acting on it.

### Forward-looking statements.

Scenarios, valuations, projections, and any forward-looking statements involve substantial assumptions and uncertainty. Actual results may differ materially from those projected. Past performance is not indicative of future results. The model is a model; reality is not.

### Author may hold positions.

The author may own, intend to acquire, or hold short exposure to $DASH or related securities at any time. Positions may change without notice and without an update to this document. Do not assume the author's positions match the tone of the analysis.

### Do your own research.

Do not make investment decisions on the basis of this document. Consult a licensed financial professional and read the company's official SEC filings (10-K, 10-Q, 8-K, proxy) before forming any investment view. If you wouldn't trust your retirement to a chatbot, don't trust this either.

## GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

**GOV / take rate** — Gross order value (~$102B FY25) x ~13.4% take = revenue; the two metrics that drive the model.

**New Verticals** — Grocery / convenience / retail delivery — the fastest-growing, margin-dilutive-today segment guided to positive unit economics 2H'26.

**Network economies** — Helmer Power: more consumers → more merchants/Dashers → density → speed/selection; the core moat.

**SBC dilution** — Stock-based comp ~$1.3-1.4B/yr (> GAAP net income) — modeled here as a rising share count; the sharpest bear point.

**FCF margin** — Free cash flow / revenue (~13% FY25, inflecting); the mature-DCF lever as ads + New Verticals scale.